Hong Kong Institute of
Certified Public Accountants
香港會計師公會

Qualification Programme Examination Panelists' Report

Module A – Financial Reporting
(June 2019 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

The case study questions tested the candidates' knowledge of the accounting treatment of remuneration benefits (year-end bonus, retirement benefits and share option) and disposal of subsidiary as a discontinued operation. In addition, candidates were required to prepare a consolidated statement of profit or loss, consolidated statement of financial position, reconciliation of opening and closing consolidated retained earnings and reconciliation of non-controlling interests. In general, many candidates were unable to advise the appropriate accounting treatment for a defined benefit plan and prepare a proper reconciliation of opening and closing consolidated retained earnings. Moreover, most candidates were unable to present a disposal of a separate major line of business as a discontinued operation in the consolidated profit or loss under HKFRS 5.

Specific Comments

Question 1 – 15 marks

This question required candidates to advise the appropriate accounting treatment of remuneration benefits (year-end bonus, retirement benefits and share option).

The performance was less than satisfactory. Some candidates did not relate the year-end bonus to HKAS 19 *Employee Benefits*. For the retirement benefits, many candidates were unable to determine that the post-employment benefit plan, as mentioned in the case, is a defined benefit plan. Most candidates were unable to determine that the improved retirement benefits were past services costs because the additional retirement benefits were committed to the current employees and prior services were qualified. For the share option, some candidates ignored that the share options were granted on 1 January, and thus there is only a 3-month effect for the current year ending 31 March.

Question 2 – 8 marks

This question required candidates to advise the appropriate accounting treatment for the disposal of subsidiary and the disclosure requirement.

The performance was less than satisfactory. Many candidates were able to conclude that it is a disposal of subsidiary since the control is lost, but most candidates were unable to correctly calculate the gain or loss on disposal. Moreover, many candidates were unable to mention that the consolidated statement of profit or loss should include the subsidiary results up to the date of disposal. Most candidates were unable to conclude that such a disposal of a separate major line of business should be accounted for as a discontinued operation under HKFRS 5.

Question 3 – 25 marks

This question required candidates to prepare a consolidated statement of profit or loss, consolidated statement of financial position, and reconciliation of opening and closing consolidated retained earnings.

The performance was less than satisfactory. Most candidates were unable to present a disposal of a separate major line of business as a discontinued operation in the consolidated profit or loss under HKFRS 5. Many candidates focused on the working, and did not put their entries in the consolidated worksheet.

Question 4 – 2 marks

This question required candidates to prepare a reconciliation of the non-controlling interests by showing the book value and fair value of the net assets shared by the non-controlling interest.

The performance was less than satisfactory. Many candidates did not attempt this question. This might have been due to poor time management or an inability to prepare a reconciliation of the non-controlling interests.

(II) Section B – Essay/Short Questions

General Comments

The questions in this section aimed to test the candidates on their conceptual understanding and ability to apply their knowledge to commonly seen situations in practice.

Some candidates scored very high marks, showing a high level of understanding in the areas tested. For those candidates, they were able to present their answers in response to the questions with technical reference / rationale in a logical and succinct manner.

However, many candidates lacked awareness of specific requirements, and were unable to identify which of the specific requirements apply to which particular fact pattern in the case.

In general, performance in this section was unsatisfactory.

Specific Comments

Question 5(a) – 10 marks

This question required candidates to provide an analysis of whether the entity should book revenue arising from its freight forwarding business on a gross / net basis.

The performance on this question was less than satisfactory. While the majority of candidates were able to identify the relevant requirements, only a small number of candidates noticed that inventory risk of space on vessels was actually mitigated.

In determining whether an entity is acting as an agent / principal, in practice apart from checking against the factors as listed in the requirements it is also important to consider the big picture of the business model.

A minority of candidates were able to provide other valid points which were not explicitly spelled out in the question.

Some candidates quoted the 5-step model in their answers, which is not relevant. And a number of candidates mixed up “principal” with “principle”.

Question 5(b) – 10 marks

This question required candidates to identify and evaluate how many performance obligations there are under the sea freight business, and to consider whether the revenue arising therefrom should be recognised over time / at a point in time.

The performance on this question was unsatisfactory.

Most candidates that attempted the question were unable to apply the HKFRS 15 requirements in identifying performance obligations. Many were not able to show how they arrived at the conclusion by applying both the “capable of being distinct” and “distinct in the context of the contract” criteria to analyse whether the promised services were distinct.

Only a minority could explain that there are 2 promises in the contract that are capable of being distinct, but not distinct in the context of the contract.

Very few candidates were able to arrive at the correct conclusion when analysing whether revenue should be recognised over time or at a point in time.

A number of candidates appeared to be still applying the concepts under HKAS 18 by focusing on risks and rewards or whether it is provision of goods or services in determining the timing of revenue recognition.

Question 5(c) – 3 marks

This question required candidates to calculate the loss allowance based on the numbers provided.

A majority of the candidates answered this question correctly, although some lost marks due to calculation error.

Some candidates assumed that no loss allowance should be provided on balances that were not yet due and hence left out the balance under "current". The expected credit loss model under HKFRS 9 is not to estimate a worst-case scenario nor to estimate the best-case scenario. It is an estimate to reflect the possibility that a credit loss occurs and the possibility that no credit loss occurs even if the most likely outcome is no credit loss. So even if a balance is "current" its expected credit loss as derived from a probability-weighted calculation is unlikely to be zero.

Question 6(a) – 10 marks

This question required candidates to explain whether each of the entity in the question was related party to the reporting entity.

The performance on this question was less than satisfactory.

While most candidates were able to identify the relevant requirements being from HKAS 24, a number of candidates had difficulty in applying when it involves parties that are joint venturers sharing common control / parties that are under common significant influence. A number of candidates also failed to realise that non-executive director is also considered to be key management personnel, or that key management personnel of parent of the company is also considered to be a related party.

Question 6(b)(i) – 4 marks

This question required candidates to identify and consider the ethical issues arising from an ultimate controlling party, who is also a member of the HKICPA, trying to exert influence to distort disclosures in the financial statements.

In general, performance on this question was less than satisfactory. Answers to this question were too general and some candidates copied the principles without applying the facts in the case.

Question 6(b)(ii) – 5 marks

This question required candidates to extract the requirements in respect of removal, resignation and appointment of auditors under the Hong Kong Companies Ordinance.

For those that attempted the question, the majority would have scored high marks. However, some candidates focused on the requirements under the Listing Rules and failed to address what is asked in the question.

A number of candidates did not attempt this question, which appears to be a matter of time management.

Question 7(a) – 5 marks

This question required candidates to set out journal entries to reflect the accounting of government grants in respect of assets.

Many did not attempt this question. Amongst those that attempted, most candidates demonstrated a good understanding of the requirements under the standard.

However, some candidates were not familiar with the requirements under HKAS 16 in respect of the time when property, plant and equipment should be recognised and when depreciation should start.

Question 7(b) – 3 marks

This question required candidates to advise and show how the reduction in the amount of government grant to be released should be reflected in the financial statements.

Many candidates did not attempt this question. For those that attempted, only a minority demonstrated an understanding of the accounting requirements, and only a few could identify that it is a change in accounting estimate that should be adjusted prospectively.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was less than satisfactory. Candidates are advised to study beyond popular topics. Topics related to retirement benefits and discontinued operations are also common in practice.

Candidates are reminded to read the questions carefully and address what is being asked. In addition to the conclusions made, it is important to demonstrate an understanding of how answers are arrived.

Candidates are reminded to make a reasonable attempt to answer all parts of questions.